The Economic Impact of Unemployment Insurance Reform in Tennessee

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Dissertation Proposal

Unemployment Creates Household Financial Hardship

- Unemployment causes immediate consumption losses and career consequences
- Workers face difficult trade-offs: asset liquidation, high-interest borrowing, accepting worse job matches

Unemployment Insurance provides safety net:

- Enables consumption smoothing during job search Gruber (AER, 1997)
- Allows time to find better job matches Schmieder & Von Wachter (AER, 2016); Nekoei & Weber (AER, 2017)
- But: potential moral hazard if benefits reduce search effort Chetty (JPE, 2008)

Generosity-Duration Tradeoff in UI Design

- **Benefit generosity** (weekly amount): Affects all recipients, enables consumption smoothing
- **Benefit duration** (maximum weeks): Targets long-term unemployed, higher efficiency cost Ganong & Noel (AER, 2019); Schmieder & Von Wachter (Ann. Rev. Econ., 2016); Kolsrud et al. (AER, 2018)
- Optimal balance can depend on labor market conditions Kroft & Notowidigdo (ReStud., 2016)

Tennessee's 2024 Reform

Policy change (effective December 1, 2023):

- **Before:** 60% of wages up to $275/week, maximum 26 weeks
- **After:** 60% of wages up to $325/week, maximum 12-20 weeks (varies with state unemployment rate)

Why it's interesting:

- **Simultaneous** increase in generosity + decrease in duration
- Small marginal change in tight labor market (external validity)

Ex-Ante Ambiguous Effects

Higher weekly benefits (\$275 → \$325):

- Better consumption smoothing Gruber (AER, 1997)
- Potential for better matches Nekoei & Weber (AER, 2017)
- May increase UI take-up

Shorter duration (26 → 12-20 weeks):

- Increased exhaustion rates, sharp consumption drops Ganong & Noel (AER, 2019)
- Acceptance of worse jobs

Research Question: What are the effects of Tennessee's UI reform on claiming behavior, unemployment duration, and reemployment outcomes?

Contribution

- Reform that simultaneously adjusts generosity and duration
  - Others vary one dimension holding other fixed Katz & Meyer (J. Pub. Econ., 1990); Card & Levine (J. Pub. Econ., 2000); Schmieder et al. (QJE, 2012)
- **High-quality administrative data** (TN DATA, 2014-present)
  - Complete UI claims, wage histories, reemployment outcomes
  - Variation in treatment intensity enables heterogeneous effects across wage distribution Card et al. (Econometrica, 2015)
- **Tight labor market context** complements recent literature focused on recessions/pandemic Ganong et al. (AER, 2024); Marinescu et al. (J. Pub. Econ., 2021)

Data: Tennessee Administrative Records (TN DATA, 2014 - present)

- **Source:** Tennessee Department of Labor & Workforce Development
  - UI Claim Eligibility (universe of claims, benefit amounts, eligibility)
  - UI Claimant Characteristics (demographics: age, gender, education, county)
  - UI Employment (employer IDs, NAICS industry codes, detailed wage records)
- **Variables:**
  - Pre-unemployment wages $\rightarrow$ benefit calculation
  - Unemployment duration (weeks from claim to benefit exhaustion/closure)
  - Benefit exhaustion (indicator for reaching maximum duration)
  - Reemployment wages, job quality measures

Methodology: Aggregate & Individual

1. **Aggregate state-level analysis:**
   - DiD / Synthetic control to compare TN to control states
   - Outcomes: total initial claims, average weeks of benefits paid, exhaustion rates, trust fund solvency
2. **Individual-level microdata analysis:**
   - Variation from benefit schedule: heterog. effects by wage, age, local labor markets
   - Outcomes: unemployment duration, benefit exhaustion, reemployment wages, job match quality

Heterogeneous Effects Across Workers and Labor Markets

By worker characteristics:

- Age: Older workers may exhibit lower search elasticities Schmieder & Von Wachter (Ann. Rev. Econ., 2016)
- Wage distribution: Benefit schedule creates discrete variation in treatment intensity

By local labor market conditions:

- Tight labor markets (low unemployment): Shorter duration may impose lower costs
- Slack labor markets: Duration reduction may force workers into worse job matches

Policy Implications

This research will inform optimal UI policy design:

- Quantify relative effects of generosity vs. duration
- Understand which workers benefit/lose from the tradeoff

Next steps:

- Data recently approved and acquired!

Thank You!

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